

RISK AND INSURANCE MANAGEMENT

AUDIT PROGRAM #13-20-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
September 2025	Planning	Audit Program Risk Alignment	CA&AS Ops	Changes to audit risk levels from recent revalidation
February 2025	Process and Objective		Dee Burris	Added Employment Practice Liability Insurance / Wage & Hour program and Trade Credit
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

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PROCESS AND OBJECTIVE

The core business objective of the CHQ Risk Insurance Management (RIM) organization is to purchase insurance on behalf of IBM so that IBM can have funding available to respond to risks to assets and the earnings of the business from accidental pure risk events. This responsibility is met by transfer of an appropriate amount of risk through purchasing insurance coverage as defined by Corporate Instruction FIN 170.

In addition, to reduce ongoing premium expenditures; provide IBM with the ability to assume risks that are not insurable, to assume risks a business decision- but still evidence insurance to customers or other third parties, and/or manage low-level risks within the organization, IBM has in certain instances of self-insurance programs. When IBM is self-insured, IBM has no insurance and retains 100% of the risk. In the event of a loss for which IBM is legally liable, IBM pays the money directly to the injured party. The planning and funding of the self-insurance program is managed by RIM organization. They are also charged with ensuring that all insurance and self-insurance is in compliance with all government regulations and, that claims for settlement are reported under the appropriate programs.

The Global Risk Management Program is designed to be responsive to the ongoing requirements of IBM's business. The Program includes, among others, the management of the following risks:

- Global Casualty (third-party bodily injury and property damage)
- Global Property and Transit of IBM assets (tangible assets and loss of income)
- Global Risk of Loss Transit (customer's property while in transit)
- Directors and Officers Liability (breach of duty)
- Professional Errors and Omissions Liability (professional services)
- Crime Insurance (employee fidelity)
- Workers Compensation (employee work-related injuries)
- Employment Practice Liability Insurance / Wage & Hour program and Trade Credit

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PLANNING: Audit Program Risk Alignment

Risk and Insurance Management

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Insurance Policies	Medium	Risk and Insurance Management	RA001.P, RA005.P, RA006.P
Captives Management (including policies, claims, regulatory compliance, and capital structure)	Medium	Risk and Insurance Management	RA006.P, RA008.P
Vendor Management (including brokers and captive managers; from selection to activities)	Medium	Risk and Insurance Management Disbursements	RA001.P, RA002.P, RA005.P PB001.P
Counterparty Risk	Low	Risk and Insurance Management	RA002.P
Disbursements (including premiums, fees, and claims)	Low	Risk and Insurance Management	RA004.P, RA006.P

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PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Insurance Payments	Request a universe of all insurance payments during the audit period	• Continuous payments to same payee • Payment amounts that do not align with universe	• Insufficient monitoring of payments could result in unauthorized activities going undetected
Insurance Claims	Request a universe of all insurance claims made during the audit period	• Claim reimbursements are not in accordance with contractual terms and conditions	• Insufficient monitoring of claims could result in unauthorized or inappropriate reimbursements of claims

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PLANNING: Reference Material

Links to applicable corporate instructions, policy memos, and procedures manuals.

- [FIN170: Acquisition of insurance coverage \(excluding benefit insurance\)](#)
- [FIN178: Highly Protected Risks \(HPR\)](#)
- [General Data Protection Regulation \(GDPR\) \(ibm.com\)](#)
- [CHQ Risk and Insurance Management Dept - CHQ Risk & Insurance Mgt Dept \(ibm.com\)](#)
- [CHQ Risk and Insurance Management Dept - Risk & Insurance Manual \(ibm.com\)](#)

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PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Insurance Claims	Review insurance claim reports	Review a sample of insurance claims and verify the supporting documentation. If possible, validate the information from an independent source.
Insurance Payments	Control points in insurance payments	• Review a sample of insurance payments and compare it against the policy to ensure it's covered in the plan. • Verify that management reviewed and approved payments.

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Objective:

1. Is there an adequate separation of duties regarding insurance placement process?
2. Are controls in place over the payments of insurance premium and fees?
3. Are controls in place (business justification, coverage determination process and vendor selection/qualifications process) to ensure IBM's assets are protected by purchasing insurance coverage in compliance with IBM objectives, conduct guidelines, and the applicable regulations?
4. Are controls in place to ensure that all applicable loss claims are reported to CHQ RIM to report to insurance companies filed /recorded in a timely manner; with reminders to report claims on policies which late reporting precludes coverage. Ensure that reimbursement of claims was made in accordance with contractual agreements.
5. Is there adequate documented procedures to identify and address risks?
6. Is there adequate documentation of timely management review of established measurements?
7. An inadequate separation of duties allows improper/unauthorized or fraudulent exchange transactions which could lead to incorrect premiums.
8. Failure to obtain proper approvals for purchase of insurance could result in unauthorized and/or inadequate levels of insurance. Payments not in line with the contractual terms and conditions could result in additional cost.
9. Inadequate controls over:
 - a. Insurance placement process, including insurance coverage selection and limits
 - b. Premium paid
 - c. Insurance company selection/qualification, could result in inadequate insurance, misappropriated funds or excess insurance cost
10. Inadequate controls over applicable insurance claims/reimbursements could delay the loss of claim payment funds.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Insurance Risk Analysis (RA001.P)

Objective:

To ascertain whether a process is in place which identifies and assesses the placement of insurance. This process should justify all decisions made and should have appropriate management approval of all decisions. In addition, ascertain whether a process is in place which determines and justifies the premium spend dollar of each insured risk.

Approach:

Review and understand the process which is used to identify emerging risks for assessment and to periodically reassess identified Insurance risks. Next, understand the process which is used to determine which identified risks should be insured and which identified risks should not be insured. Finally, for risks that IBM Risk and Insurance Management division (RIM) decides to insure, understand the process which is used to set the dollar coverage level for that insurance.

1. Request documentation supporting risk analysis and business justification to determine whether insurance coverage amount was properly established.
2. Is the process to identify new risks for assessment adequate (i.e., is it looking at the right things, expending an acceptable level of effort)? Does RIM periodically reassess risks that have already been identified?
3. Request a list of any new risks identified as emerging issues in the prior year and review documentation to determine if sufficient evaluation and consideration has been given to these concerns since identification.
4. Is the process to determine which risks should be insured vs. which risks should not be insured reasonable (i.e., is the process looking at the right things and getting the appropriate level of management review and approval)?
5. Based on the overview of the personal information (PI) or sensitive personal information (SPI) provided in the IDR, determine if sufficient data protection was established. This should include, but not be limited to the General Data Protection Regulation (GDPR) or any other similar regulatory requirement. Additionally, understand all types of activities or policies that falls under this specific regulatory environment, identifying where the anonymization or pseudonymization information must be provided due to that requirement.
6. Select a specific category of self-insured risk and review documentation of the re-evaluation process to validate that actual incurred costs were similar to the previously estimated costs indicating that self-insurance did in fact represent the best value for IBM.
7. Based upon the understanding of the risk analysis process, select three broad categories of risks. Test this sample against the following:
 - Did management adequately follow their own risk assessment process?
 - Did management's risk assessment process adequately document its decisions (i.e., was there any supporting documentation which explained why management decided to insure one risk but not another risk?)

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Insurance Risk Analysis (RA001.P)

(Continued)

- Did management adequately follow their own determined objectives for insurance policies?
 - Were the decisions to set insurance policies at specific limits of insurance adequately supported by appropriate documentation?
 - Were all decisions approved by the appropriate level of management?
 - Were all management approvals documented?
 - Were the decisions to either increase, decrease, or drop a certain kind of insurance coverage properly documented?
 - Was the insurance (where applicable) renewed in a timely manner such that IBM was fully covered at all times based on targeted objectives within the insurance market capacity available?
8. Review the most recent independent Risk Assessment of IBM insurance posture review. Verify that recommendations were acted upon and resulting action plans were documented and implemented.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Risk Insurance Measurements (RA002.P)

Objective:

To determine if measurements are in place which provide management adequate visibility to Risk Insurance Management's performance (i.e., proper approval levels within IBM payment systems), Delegations of Authority signatures, Renewal Strategy Letters with approval, Foreign Excise Tax / NY Premium Tax reporting, FATCA compliance).

Approach:

Review the Risk Insurance Measurements for the following:

1. Did the IBM Risk and Insurance Management (RIM) measurements cover all key aspects of cost, quality, and delivery? If measurements are not in place to monitor all key aspects, did IBM management have other means of visibility to these key aspects of RIM?
2. Has RIM been meeting its measurement targets? If not, are there documented explanations/action plans in place to correct the shortfall? Has there been adequate follow-up/closure of all action plans?
3. If key assessment data comes directly from an external source, is there a process in place to verify the validity and accuracy of the data provides? Determine whether the most recent verification of external data was actually carried out (i.e., is there any documentation available to validate the fact that IBM actually carried out this process)?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Separation of Duties (RA003.P)

Objective:

To ensure proper separation of duties exists so that no individual can control activities within a process in order to misuse or divert company funds without detection. Essentially, one individual should not be permitted to perform activities which combine custody, transacting and recording of IBM assets.

Approach:

1. Review the responsibility assigned in the areas of Risk and Insurance Management (RIM) for possible separation of duties exposures (Example: responsible for transfer of Insurance funds and also responsible for insurance reconciliations).
2. Request the Organization's separation of duties assessment. Validate if the periodic review and approvals were performed as required by FIN182 Appendix C.
3. If not available, then develop an assessment to show all employees involved in the above processes and the related responsibility (including 'back up' responsibility). Any individual with capabilities which would allow them to circumvent controls in the process should be identified and included in test samples.
4. This assessment should be completed at the beginning of the audit and results should be shared with the auditors and reviewed with the RIM Operation's team. Also, and if applicable, system access control review should be based on this assessment result.
5. Does the assessment contain all duties (risk assessment, insurance selection, payment authorization, accounting, and reconciling) which are performed in the function. Were all conflicts identified in the assessment?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Insurance Payments (RA004.P)

Objective:

To determine whether payments for insurance charges were made in a complete, accurate, and timely manner. In addition, to determine whether insurance charges are reviewed for accuracy and validity prior to authorizing payment.

Approach:

Electronic Check Requests (ECRs) Payments to Outside Vendors

1. The IBM Risk and Insurance Management Division (RIM) makes disbursements via electronic check request (ECR) to pay its outsourced vendors. Obtain a listing all disbursements made and select a judgmental sample for testing. Test this sample against the following attributes:
 - Was each charge reviewed for accuracy and validity prior to approval for payment?
 - Was there supporting documentation for the payment?
 - Did the amount actually disbursed match what IBM was charged?
 - Did CHQ RIM make each disbursement in a timely manner?
 - Was each disbursement approved by the proper level of management?
 - Were all disbursements completely and accurately recorded in the ledger?

Purchase Order Disbursements made to Outside Vendors

2. Select a sample of invoices submitted.
3. Obtain the purchases orders, invoices, and payments made from the invoice. Test this data against the following attributes:
 - Was each invoice reviewed for accuracy and validity prior to approval for payment?
 - Was there supporting documentation for the payment?
 - Did the amount actually disbursed match what IBM was charged?
 - Did CHQ RIM make each disbursement in a timely manner?
 - Was each disbursement approved by the proper level of management?
 - Were all disbursements completely and accurately recorded in the ledger?

Payment of Insurer Fees

4. Obtain the base fee payments terms for the insurance broker; for one or two insurance placements contract. In addition, obtain the bonus/penalty calculations agreed upon by RIM for each year of both contracts. Test actual payments against the following criteria:
 - Did RIM pay the base fees for both contracts in a complete, accurate, and timely manner?
 - Were bonus/penalty payment methodologies base upon performance agreed to prior to the start of each contract year?
 - Were the bonus/penalty calculations for each contract year properly calculated according to the agreed upon methodologies?
 - Were bonus payments made in a complete, accurate, and timely manner OR were penalties received in a complete, accurate, and timely manner?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Vendor/Supplier (Third Party) Contracts (RA005.P)

Objective:

To determine for any outsourced Risk and Insurance Management (RIM) contracts included detailed scopes of work, appropriate business and legal clauses, and a detailed price structure which demonstrate an effectively managed program. Were the terms and conditions adequate to deliver the business objectives of the outsourced Risk and Insurance Management activities?

Approach:

Obtain copies of the outsourced Contract Management contracts.

Review these contracts against the following criteria:

1. Did the contract have all standard required terms and conditions, as well as appropriate clauses?

This should include, but not limited to:

- Term of Service
- Vendor Performance
- Compensation
- Invoicing to IBM
- Sensitive Data Protection, Confidential Information, and Rights in Data
- Records Retention
- Agreement with Employees
- Warranties
- Compliance with Laws
- Liability

2. For the contracts sampled in "Contract Management (RA004.P)", test against the following criteria:

- For competitive bidding and evaluation:
 - Was the competitive bidding process properly supported by procurement and documented, including with all applicable reviews?
- For Sole Source decisions:
 - Did documentation exist to indicate that there were no other alternatives available?
 - If applicable, did the requestor and procurement approve the justification?

3. Was there a clear-cut scope of work covering what is to be done and who is doing it?

- If applicable, did the contract comply with corporate requirements for doing business with former IBMers, close personal friends, or relatives? If any IBM employees were permanently located at the supplier, or vice versa, did the contract protect IBM from joint-employer relationship exposures?
- Does this scope of work match what is actually being done by the vendor?
- Was there any measurement procedure in place to monitor the vendor performance?
- Was there a clear methodology for determining the price of goods and services OR a firm, not to exceed price in place? If an analytical technique was used (price comparison analysis or cost build-up analysis), was an individual independent of the buyer or a cross-functional team used? If not, was the selection approved by the buyer's manager?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Vendor/Supplier (Third Party) Contracts (RA005.P)

(Continued)

- Was the contract signed by both the supplier and IBM?
- Were change controls in place, identify who was authorized to update the contract and scope of work?
- Were all additions to the contracts' scope of work properly amended? Did all amendments have documented approvals from both the supplier and IBM?
- Were cancellation terms and costs and the methodology for determining settlement clearly defined in the contract?
- If the audit clause had been exercised, were the results reviewed and actions taken where necessary?
- Were the services procured from the vendor in line with the insurance coverage established by CHQ RIM?
- Was the supplier checked against the Denied Parties List?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Insurance Claims (RA006.P)

Objective:

To ensure that all applicable loss claims are filed/recorded, and that reimbursement of claims were made in accordance with contractual terms and conditions. Also, ensure claims are properly reconciled.

CHQ RIM team only handles claims as reported by the individual business units in IBM or supplier. This testing will include the compiled documentation and processes followed by the team before claim was reported to RIM.

Approach:

1. Understand the approach used for the recording and tracking of insurance claims. Is this information provided by the supplier or by IBM? Is this an automated or manual system? Is there a validation of this data performed by IBM?
2. Obtain detail of insurance claims filed to determine whether each claim filed were properly recorded in the ledger.
3. Request evidence that receipts for insurance claims were accurate and properly recorded in the ledger.
4. Did adequate measurements exist to monitor claims activity? Further, did management have involvement or immediate visibility to large claims?
5. Review aged items in the insurance claims receivable accounts and ensure aged items were investigated and resolved on a timely basis. Determine if there were action plans for the resolution of unpaid aged claims.
6. Request the write-off of all uncollectible claims to determine whether all write off were properly justified/documented/approved.
7. Was there a process to review the activity and performance of the contracted claims adjusting firm? Did specific performance measurements exist, and if so, were they achieved?
8. In cases where there were material losses and the time required to complete the claim investigation was extensive (e.g., greater than six months or over year-end) were there accruals recorded in the ledger for the expected amounts to be paid to IBM on specific claims?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Self Insurance (RA007.P)

Note: IBM does not estimate losses within either the self-insurance programs nor those which are risk transfer yet have a “self-assumption/self-insured” element, i.e., deductible.

Objective:

Self-insurance is a way for a business to lower ongoing premium expenditures and to take control of low-level risks within the organization. If the service is outsourced, claim details are handled by the vendor. Ensure vendor checks are done.

Approach:

1. Have the self-insurance limits been recently reviewed for applicability by the CHQ RIM team?
2. Is the self-insurance claim within the set limits?
3. How often is the self-insurance budget reviewed by RIM management?
4. What are the variables taken into account to build the self-insurance budget?
5. What type of areas are accounted in the self-insurance program? Is there an opportunity to add more areas to it?
6. Is the self-insurance program in compliance with government regulations?
7. Is there a formal channel of communication with treasury and tax? - Based on self-insurance implications.
8. Self-insurance Claims:
 - Review the process and procedures for self-insurance claims where there is a third-party administrator (i.e., claims adjusting firm) involved.
Note: All other self-insured claims IBM pays out of pocket.
 - Obtain a list of all claims made against IBM during the audit period where third-party adjuster was involved.
 - Were claim requests reviewed, assessments made of IBMs liability, and validated based on policy rules once reported to CHQ RIM?
 - When did the event occur, how large is the claim, was it reported within the time periods stipulated in the policy once reported by the BU to CHQ RIM?
 - Does the assessment include a review to ensure only IBM is liable? Can the claimant also file a claim with another insured party?
 - Were valid claims reviewed and approved by management?
 - Review the sample for repeat claims by the same claimant.
9. Payments:
 - Obtain a universe of all self-insurance claim payments made during the audit period via third party adjusters.
Note: All other claims - IBM does not pay anyone; the BU where the loss occurred absorbs the loss.
 - Validate that payments were accurately processed based on approved claims.
 - Were IBM disbursement procedures followed?
 - Review ledger activity and account reconciliations for all payments.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Risk and Insurance Program Placement Management

Primary Test: Self Insurance (RA007.P)

(Continued)

10. Reporting:

- What is management's visibility to self-insurance claims and payments?
- Understand the approach used for the recording and tracking of insurance claims. How often is the activity reported?
- What measurements exist to monitor claims activity?
- What data is used for measurements metrics?

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Disbursements

Objective:

Are all expenses claimed reasonable, documented, approved and in compliance with IBM policies? Do any expenses claimed using Travel Expense Accounts (TEAs), Miscellaneous Expense Accounts (MEAs), Electronic Cheque Requisitions (ECRs), Purchase Order Exempts (PO Exempt - EMEA only), and Invoice Only Invoices (IOI - AP only) represent a bypass of the procurement process?

Risk/Exposure:

Improper or invalid payments may be made to employees which could result in inappropriate or excessive expenses being incurred by IBM.

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CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Disbursements

Primary Test: Procurement Bypass (PB001.P)

Objective:

To determine if controls are in place to prevent the bypass of procurement in selecting suppliers and/or making purchases.

Approach:

Review documentation and management policies to validate the control measures listed below. In selecting a sample, refer to the Global Accounts Payable website and the Electronic Check Request (ECR) approved categories. Any expenses that do not fall into these categories must go through Procurement. NOTE: Some categories also specify monetary limits which may assist in selecting a sample.

1. Review ECRs from the previous year. If the population is too large, select a sample. Repeat requests for payment to the same supplier and/or from the same requestor could be a sample selection criterion. Verify that expensed items did not require procurement involvement.
2. Review the process for reimbursing travel expense accounts (TEAs) and miscellaneous expense accounts (MEAs) to ensure that all expenses through submitted to IBM.
3. Review a selection of miscellaneous expense accounts (MEAs) to verify that expensed items did not require procurement involvement.
4. Determine if management had procedures in place to prevent the bypass of procurement. If a bypass did occur, validate that control procedures were implemented in a timely manner to ensure that repeat bypasses would be prevented.